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practice, those workers are regarded as either gig workers without affiliated organisations or independent contractors. Some labor groups have also dealt with riders to declare they are individual and commercial households, which is currently being contested in court. Although the Spanish Supreme Court ruled in favor of this view, platform companies make agreements with labor unions and collect in exchange their dues.

8. Negotiations With Labour Unions

Transport platform companies have also entered into negotiations with trade unions to come to compromise positions to achieve some of their strategic goals. These deals have been his extensive since the gig economy has typically been considered a sector that is difficult to organise and unionise. There have also been different experiences in Europe and the United States with such initiatives. In Denmark, Transport Workers' Union nationwide collective agreement with but Eat for food delivery couriers which applied to Foodora, Wolt, Just Eat Takeaway and Deliveroo, which represents around 1 million whole hourly.[77] The deal was supported by the Danish Chamber of Commerce and was celebrated as securing important rights for workers including an hourly wage of DKK125.25 (US$20) and a minimum of eight and up to 37 working hours per week.

The experience of negotiations with unions in the United States has created more controversy with critics accusing several unions of joining with the transport platform companies to support deals that would create quick pathways to unionisation at the expense of giving up other employment rights.[78] In California and New York, platform companies worked with unions to develop legislation that would continue classifying workers as independent contractors and hence deny them protections such as a minimum wage and anti-discrimination laws. In Vienna Uber has noted historically that it has had "constructive discussions" with the local trade union and has agreed to in-case labour standards, whereas the proposed legislation would provide Austrian standards and carve out lower forms of protections for some of the most vulnerable workers, which United Iccoing collective representative Uni on Instrument of management control.[79]

One of the first major negotiations occurred between labour unions and the ride-hail platform companies in California during the debate over Assembly Bill 5. Before the law came into force, the platform companies proposed voluntarily bargaining for unions over a narrow set of topics. However, the deal also involved workers accepting independent contractor status and the platform companies would not provide benefits. Although a similar proposal was brought forward in New York, the deal collapsed when the platform companies through the Independent Drivers Guild and carried by Chase Sanitas in the State Senate the support of John Samuelsen, the International President of the Transport Workers Union.[80] Yet when the draft bill leaked, app-based workers protested and joined with workers' advocacy groups to oppose the deal which had Samuelsen to withdraw his support. Neither initiative by the platform companies succeeded in passing into law. In Spain, the platform Glovo was also attempting to stop the legislation at the level of state law of gives wages, and a clause of protection for workers in the transport and food delivery industries.

In China, the All-China Federation of Trade Unions (ACFTU) is the state-sanctioned and only legal labour union in the country. In July 2021, it issued a call for the better protection of China's gig economy workers.[81] This was in line with Beijing's recent turn against the Big Chinese technology platforms. The Communist Party has long been concerned about the instability and protests that could be caused by the gig economy. However, as representatives of the Chinese government, union officials raise labours concerns, platform companies, and workers, the ACFTU could be caught in conflicts between workers and platforms, the ACFTU tried to guide platforms to establish trade unions, but most platforms adopted tactics of avoidance and delay. That situation changed dramatically when the government began to compel platform companies in 2021. Thing leading platforms, Didi, Ele.me and JD.com have established company-wide unions, which the government believes could play a greater role in managing the concerns of workers.[82]

9. Withdrawal of Services (Threatened and Actual)

If other strategies fail, platform companies always reserve the right to withdraw their services from a particular city, state or country. This is a threat that is often used as leverage during negotiations with regulators about what will be the likely effect of new regulations on the business and community. On this point, it is important to note that platform companies have the ability to withdraw their services from a particular city, state or country, or even from a particular jurisdiction, in order to demonstrate the threat of an action can sometimes work just as effectively as the action itself. Platforms lobby regulators and attempt to water down or strike out particularly onerous regulations using the threat of ceasing their business operations if the regulations come into effect. The companies can frame this not as a direct threat, but in consideration terms as economic necessities that would be forced upon the company if certain laws were passed. For instance, Uber could argue that if a particular law or set of laws were passed, it would likely have no choice but to reduce service throughout the state and possibly shut down services entirely.[83] This posturing is part of a broader repertoire of strategies for achieving its regulatory aims, business consideration and company stability are a separate consideration that are not strictly determined by new laws alone. Indeed, there are not many examples of platform companies completely ceasing business operations because of a new law. In this instance, the threat was enough to convince Minneapolis Uber This Walk to into the law.[84]

One of the most prominent examples of this strategy being actually used rather than just threatened occurred in the Spanish Autonomous Community of Valencia, which required Uber and Lyft drivers to be fingerprinted for safety reasons.[85] The companies spent 18 million in a campaign against the introduction of these background checks, but were unsuccessful in preventing the laws from being implemented. Shortly after the laws came into force the two companies left the cities having drivers without work. The transport platform companies lobbied the state government to overturn the new regulations, which would allow them to come back into the market the following year. Although this was not realised, a last-minute, if they had their business would not be profitable under the regulations.

10. Conclusion: A Sequential Approach to Platform Strategies?

Of the five strategies employed by transport platform companies theorised in this article—regulatory arbitrage, strategic litigation in defence of a business model, tactical negotiations with labour unions, withdrawal of services (threatened and actual) and lobbying—the question remains as to whether platform companies have a tendency to pursue these in a particular order. As was explained above, when platform companies enter new markets they often explicitly operate in a legal grey zone in which the legality of their business and employment model is an open question. As a result, the strategies of regulatory arbitrage and strategic litigation in defence of a business model are often in situations where companies are the first to organise strike activities against the platforms and try to force the companies to the negotiation table, the response can often be partnering with the unions and striking a compromise such as what occurred in Denmark with 3F Transport.[86] However, these situations have been comparatively rare as unions have not proved as big a threat to platform companies as the gig and other regulators that have attempted to protect workers by enforcing a particular form of employment regime platform companies.

Due to the differences in how platform companies are challenged in each jurisdiction, the sequence in which they employ various strategies is contingent dependent. Regulatory activism is the most consistent, and often first strategy employed by companies operating in a legal grey zone. Regulatory arbitrage is a strategy that all platform companies will inform regulators when they open their business operations that their company provides a range of benefits to consumers and that laws should be interpreted in ways that are permissive to the company. As Martin Kenney has shown, there are instances in which pursuing an alternative interpretation (or amendment) of a law is a key part of their business plan.[87] Strategic litigation is another defence mechanism. As an action, it is used when a company has exhausted other avenues, defending their business model against challenges by others and regulators in the courts. The primary strategy of companies is usually to defend the integrity of their business model without making any concessions to regulators. It is only when these strategies begin to fail that platform companies then turn to compromises and deals with different parties. Either by partnering with trade unions or turning to subcontractors to provide services that are independent contractors, platform companies try to make distance between the company and its workforce. The threat of a withdrawal of services is a strategy that can be employed all the way through negotiations with regulators, while the actual withdrawal is of course a last resort due to the significant loss in revenue for the company.

The contentious compliance framework of this paper suggests that where left unregulated companies will adopt the most flexible and profitable model they are able to implement. This would be one that maximises profit-making for the company and externalises risk and responsibility onto workers. To this analysis, we have added the insight that platform companies have adopted an aggressive approach because they see themselves as engaged in a global struggle to protect their business model and that a loss in one jurisdiction could have ripple effects throughout the industry globally, to serve as a model for other countries. As Adkins has suggested, when facing regulations in different jurisdictions, it has been rare for these companies to simply cease operations.[88] They would prefer to stay and adapt their business, while working to have the regulations changed. This means that regulations can pose real alternatives to the business model of platform companies, and that platform companies will adapt and carve out ways to the most advanced jurisdictions in terms of regulation every so as warning to lawmakers—as with California—as to how the platform companies will go to evade regulations and retain their independent contractor model.

Footnotes

1. Angelos Arvan, "Entrepreneurship and Ethics in the Sharing Economy: A Critical Perspective" (2020) 161 Journal of Business Ethics 1–19; Submission, 'Submission to the Senate Select Committee on the Future of Work and Workers' (2017), Parliament of Australia (2) https://www.aph.gov.au/Documentsearch.aspx?searchfor=0.0.5.4wd.B60b.a4f0bf7b2c2b2ebce0.0.0.1.0.0.0